25900305 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Elective (DSE) - MG3DSECOM202 - SERVICES MARKETING

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 15 Minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. The rapid growth of the Indian service sector is mainly attributed to which of the following? [U] / [CO1]

   a). Decline in literacy levels
   b). Increasing use of digital technology and outsourcing
   c). Decrease in foreign investment
   d). Overdependence on agriculture

2. A firm sets its goals and objectives and plans how to use its strategies and tactics in a specific market. This process comes under which head? [An] / [CO2]

   a). Selecting the target
   b). Analyzing the marketing opportunities
   c). Organizing marketing plans
   d). None of the other option

3. Which of the following is a key outcome of service excellence? [U] / [CO3]

   a). Customer loyalty
   b). Higher employee turnover

c). Reduced customer satisfaction d). Lower service quality

4. Which component of service marketing mix involves tangible cues and confidence-building? [U] / [CO3]

a). Physical evidence b). People

c). Process d). Price

5. The main goal of B2C service marketing is to: [U] / [CO1]

a). Replace competitors b). Create a favorable experience for individual customers

c). Manufacture cheaper products d). Increase wholesale orders

6. When customers spread negative word-of-mouth online after service failure, it is known as: [U] / [CO3]

a). Digital retaliation b). E-WOM (Electronic Word-of-Mouth)

c). Complaint escalation d). Customer loyalty

7. Which of the following is not a common basis for positioning services? [U] / [CO2]

a). Tangible product features b). Customer benefits

c). Service price d). Service quality

8. What makes enrolment and support processes vital in the marketing mix? [U] / [CO3]

a). Limit admissions b). Shape the overall student experience

c). Reduce faculty support d). Shorten courses

9. A hospital's differentiation strategy often focuses on: [U] / [CO4]

a). Producing tangible medical devices b). Storing health services

c). Quality of care and advanced technology d). Standardisation of physical products

10. Which of the following is not a characteristic of services? [U] / [CO1]

a). Services result in ownership b). Services are intangible

c). Services create value

d). Services stimulate economic activity

11. To handle rising demand, public utilities adopt: [U] / [CO4]

a). Demand forecasting and capacity planning

b). Restricting access

c). Premium-only plans

d). Ignoring long-term growth

12. Which type of bundle involves pairing certain complementary products as an add-on to the primary product? [U] / [CO2]

a). Mixed bundle

b). Pure bundle

c). Cross-sell bundle

d). Product bundle

13. Identify which of the following is a correct sequence of components in service blueprinting? [U] / [CO3]

a). Customer actions → Physical evidence → Frontstage → Backstage → Support processes

b). Physical evidence → Customer actions → Frontstage → Backstage → Support processes

c). Customer actions → Frontstage → Backstage → Support processes → Physical evidence

d). Frontstage → Backstage → Physical evidence → Customer actions

14. The concept of "service recovery" refers to which of the following? [U] / [CO3]

a). Preventing any service failure before it occurs

b). Taking corrective actions after a service failure to restore customer satisfaction

c). Reducing service costs to attract more customers

d). Providing standardized services to avoid variability

15. Which element does not contribute to hospitality's intangibility? [U] / [CO4]

a). Experience-based consumption

b). Non-earmarking of physical products

c). Pre-purchase tastings

d). Dependency on service performance

16. According to Philip Kotler and Bloom, services are: [U] / [CO1]

a). Tangible and involve ownership transfer

b). Physical products sold in a market

c). Intangible benefits offered without ownership

d). Goods with added features

17. What does physical evidence in service marketing mean? [U] / [CO2]

a). Physical presence of customers

b). Physical presence of employees

c). Physical and tangible cues that assist in service delivery

d). Location of service delivery

18. A hotel consistently providing rooms that match the customer's booking details is demonstrating: [U] / [CO3]

a). Assurance

b). Tangibles

c). Empathy

d). Reliability

19. Which method does NOT belong to the strategies adopted by insurance companies? [U] / [CO3]

a). Building local client base

b). Creating mobile-unfriendly websites

c). Social media presence

d). Email marketing

20. Customer expectations are primarily shaped by: [U] / [CO3]

a). Advertising only

b). Past experiences & word-of-mouth

c). Employee training only

d). Company policies only

21. Which service depends mostly on machines or automated tools? [U] / [CO1]

a). Teaching

b). Babysitting

c). Dry-cleaning

d). Hairdressing

22. Monitoring the internal and external environment falls under which process of service management? [An] / [CO2]

a). Organizing marketing plans

b). Selecting Target market

c). Positioning of service

d). Analyzing the market opportunities

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. SERVQUAL uses a comparison between: [U] / [CO3]

a). Expected service and company profits
b). Expected service and perceived service
c). Employee performance and pay
d). Marketing strategy and customer behavior

24. Choose appropriate answer based on the Assertion and Reason. [U] / [CO3]
Assertion (A): Education requires active participation of students.
Reason (R): Learning is co-created by teachers and learners.

a). Both A and R are true, and R is the correct explanation of A
b). Both A and R are true, but R is not the correct explanation of A
c). A is true, but R is false
d). A is false, but R is true

25. Consider the following statements Assertion (A) and Reasoning (R). [U] / [CO1]
Choose the correct alternative. Assertion (A): Processes and systems are part of the service environment because they determine the speed and ease of service delivery. Reason (R): Booking, payment, and customer support systems are included in service processes.

a). Both A and R are true, and R is the correct explanation of A.
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26. Consider the following statements and state which of the statements are true. Statement (1): Products are tangible items that can be physically touched. Statement (2): Services are always tangible and physical in nature. Statement (3): Services can be stored for later use. Statement (4): Products can be returned, but services cannot be reversed. [U] / [CO1]

a). (1), (2) and (3) only
b). (1) and (4) only
c). (2), (3) and (4) only
d). (1), (2), (3) and (4)

27. Service quality can only be achieved when: [U] / [CO3]

a). All five gaps are eliminated or minimized
b). Employees are well trained
c). Communication matches delivery
d). Customer expectations are ignored

28. The knowledge gap in service quality occurs when: [U] / [CO3]

a). Customers expect more than the company promises

b). Management does not correctly understand customer expectations

c). Employees fail to deliver service standards

d). Marketing communication misleads customers

29. Match the following public utilities with their sector: [U] / [CO4]

(a) Railway	(i) Communication
(b) Electricity Board	(ii) Transport
(c) Postal Services	(iii) Power supply
(d) Muncipal Corporations	(iv) Water supply

a). a-iii, b-iv, c-i, d-ii

b). a-ii, b-iii, c-i, d-iv

c). a-iv, b-iii, c-ii, d-i

d). a-iii, b-i, c-ii, d-iv

30. Assertion (A): Market segmentation helps a service firm serve its customers better. [A] / [CO2]
Reason (R): Segmentation allows marketers to divide the market into homogeneous groups.

a). Both A and R are true, and R is the correct explanation of A

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false

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31. Consider the following statements and state which of the statements are true. Statement (1): Services are generally stored and can be sold later. Statement (2): Services are tangible offerings that can be touched and owned. Statement (3): Service marketing focuses on promoting skills and expertise rather than physical products. Statement (4): People-based services depend heavily on human skill and interaction. [U] / [CO1]

a). (1), (2) and (3) only

b). (1) and (4) only

c). (3) and (4) only

d). (1), (2), (3) and (4)

32. Match the benefits with its explainations? [A] / [CO2]

Benefits	Explaination
1) Enhance Customer Satisfaction	a) Organisations can provide service more efficiently and effectively.
2) Lower Maintenance Costs	b) Services with high -quality offers customer expectations
3) Enhance Operational Efficiency	c) Reducing the frequency of expensive repairs and maintenance
4) Enhance Service Delivery	d) Enables organisations to adapt quickly to evolving customer needs.

a). 1b,2c,3d,4a
b). 1a,2b,3c,4d
c). 1c,2b,3a,4d
d). 1d,2a,3c,4d

33. Which of the following is the most effective strategy for ensuring that customer-defined service standards are consistently met? [U] / [CO3]

a). Relying solely on management's perception of quality
b). Providing regular employee training aligned with customer expectations
c). Reducing costs by minimizing customer interaction
d). Encouraging employees to use discretion without clear guidelines

34. Consider the following statements about bank marketing strategies and state which of the statements are true. [U] / [CO3]
Statement (1): Marketing strategies for banks are designed to attract new customers and retain current ones.
Statement (2): Social media platforms like Facebook and LinkedIn are used for promoting banking services.
Statement (3): Search Engine Optimization (SEO) helps banks enhance their online visibility.
Statement (4): Mobile banking apps encourage customers to manage their finances efficiently.

a). (1), (2) and (3) only
b). (1) and (4) only
c). (2), (3) and (4) only
d). (1), (2), (3) and (4)

35. When employees are empowered to resolve customer issues on the spot, this practice primarily helps in: [U] / [CO3]

a). Reducing organizational costs
b). Improving service recovery and customer satisfaction
c). Eliminating the need for customer feedback
d). Avoiding the need for training programs

36. Consider the following statements and choose the most appropriate alternative. Statement I- Customer involvement does not affect service quality. Statement II- A body massage is an example of inseparability in services. [U] / [CO1]

a). Both statements are true.
b). Statement I is true, and Statement II is false.
c). Statement I is false, and Statement II is true.
d). Both statements are false.

37. Choose appropriate answer based on the Assertion and Reason given: [U] / [CO2]
Assertion (A) : Service Lifecycle management helps organisations maximise the value delivered by IT services throughout their lifespan.
Reason (R) : It ensures that services are aligned with business objectives, undergo continual improvement, and are retired when no longer useful.

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, and R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

38. Among the following which statement about recovery expectations is TRUE? [U] / [CO3]

a). All customers expect financial compensation after a failure

b). Recovery expectations differ based on failure severity and relationship with the firm

c). Customers never expect apologies, only refunds

d). Recovery expectations are always identical across cultures

39. Choose appropriate answer based on the Assertion and Reason. [U] / [CO4]
Assertion (A): Word-of-mouth plays a critical role in marketing healthcare services.
Reason (R): Patients generally trust personal recommendations more than advertisements.

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

40. Which of the following best describes the focus of customer-defined service standards? [U] / [CO3]

a). Company assumptions about service

b). Creating a positive customer experience

c). Achieving maximum profit in the short term

d). Following government service guidelines

41. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. Assertion (A): Service marketing helps in positive word-of-mouth promotion. Reason (R): High-quality services encourage customer recommendations. [U] / [CO1]

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false. d). A is false, but R is true.

42. Assertion(A): Promotion in service marketing involves all the activities used to communicate the value of the service to the target audience and persaude them to purchase or use it. [A] / [CO2]
Reason (R) : Advertising, Personal selling and other promotional activites are means to introduces about the use of services and its benefits.

a). Both A and R are true, but R is not the correct explanation of A. b). Both A and R are true, and R is the correct explanation of A.

c). Both A and R are false d). A is false, but R is true.

43. From the service provider's perspective, service guarantees encourage which of the following? [U] / [CO3]

a). Ignoring customer complaints b). Continuous improvement in service quality

c). Higher chances of failure d). Reduced accountability

44. Consider the following statements and choose the most appropriate alternative. [U] / [CO3]
Statement I: A key challenge in bank marketing is that standardization and uniformity are difficult to achieve due to the variability of service quality.
Statement II: The perishability of banking services means they can be tested in advance before being delivered to the customer.

a). Both statements are true. b). Statement I is true, and Statement II is false.

c). Statement I is false, and Statement II is true. d). Both statements are false.

45. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO3]
Assertion (A): Insurance services are non-storable and non-returnable.
Reasoning (R): Insurance protection is consumed as soon as it is activated.

a). Both A and R are true, and R is the correct explanation of A. b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false d). A is false, but R is true.

46. If cross-industry collaboration in 2025 is driven by AI, what strategic risk must companies carefully manage? [U] / [CO1]

a). Reduced innovation due to sectoral silos.

b). Data privacy and integration challenges between industries.

c). Elimination of shared value creation.

d). Inability to expand globally.

47. Assertion (A): Continual Service Improvement ensures ongoing enhancement of services. [A] / [CO2]
Reason (R): It operates as a feedback loop across all stages of the Service Life Cycle.

a). Both A and R are true, and R is the correct explanation

b). Both A and R are true, but R is not the correct explanation

c). A is true, R is false

d). A is false, R is true

48. Consider the following statements and find the correct answer: [U] / [CO4]
Statement I: Differentiation strategy focuses on creating unique customer experiences.
Statement II: Cost leadership is applied by budget hotels to attract price-sensitive customers.

a). Both statements are false

b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true.

d). Both statements are true.

49. Why customer-defined service standards are important for businesses? [U] / [CO3]

a). They help to reduce employee training costs

b). They ensure service aligns with customer expectations

c). They guarantee higher product quality

d). They eliminate the need for feedback

[2x25 = 50]

A

25900305 **B**

Reg.No : .....

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Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

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   a). Physical presence of customers b). Physical presence of employees

   c). Physical and tangible cues that assist in service delivery d). Location of service delivery

2. Monitoring the internal and external environment falls under which process of service management? [An] / [CO2]

   a). Organizing marketing plans b). Selecting Target market

   c). Positioning of service d). Analyzing the market opportunities

3. Which component of service marketing mix involves tangible cues and confidence-building? [U] / [CO3]

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4. A firm sets its goals and objectives and plans how to use its strategies and tactics in a specific market. This process comes under which head? [An] / [CO2]

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13. Identify which of the following is a correct sequence of components in service blueprinting? [U] / [CO3]

a). Customer actions → Physical evidence → Frontstage → Backstage → Support processes

b). Physical evidence → Customer actions → Frontstage → Backstage → Support processes

c). Customer actions → Frontstage → Backstage → Support processes → Physical evidence

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[1x20 = 20]

Part B

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Statement (1): Marketing strategies for banks are designed to attract new customers and retain current ones.
Statement (2): Social media platforms like Facebook and LinkedIn are used for promoting banking services.
Statement (3): Search Engine Optimization (SEO) helps banks enhance their online visibility.
Statement (4): Mobile banking apps encourage customers to manage their finances efficiently.

a). (1), (2) and (3) only
b). (1) and (4) only
c). (2), (3) and (4) only
d). (1), (2), (3) and (4)

44. Assertion (A): Continual Service Improvement ensures ongoing enhancement of services. [A] / [CO2]
Reason (R): It operates as a feedback loop across all stages of the Service Life Cycle.

a). Both A and R are true, and R is the correct explanation
b). Both A and R are true, but R is not the correct explanation
c). A is true, R is false
d). A is false, R is true

45. Assertion(A): Promotion in service marketing involves all the activities used to communicate the value of the service to the target audience and persaude them to purchase or use it. [A] / [CO2]
Reason (R) : Advertising, Personal selling and other promotional activites are means to introduces about the use of services and its benefits.

a). Both A and R are true, but R is not the correct explanation of A.
b). Both A and R are true, and R is the correct explanation of A.
c). Both A and R are false
d). A is false, but R is true.

46. Match the following public utilities with their sector: [U] / [CO4]

(a) Railway	(i) Communication
(b) Electricity Board	(ii) Transport
(c) Postal Services	(iii) Power supply
(d) Muncipal Corporations	(iv) Water supply

a). a-iii, b-iv, c-i, d-ii

b). a-ii, b-iii, c-i, d-iv

c). a-iv, b-iii, c-ii, d-i

d). a-iii, b-i, c-ii, d-iv

47. If cross-industry collaboration in 2025 is driven by AI, what strategic risk must companies carefully manage? [U] / [CO1]

a). Reduced innovation due to sectoral silos.

b). Data privacy and integration challenges between industries.

c). Elimination of shared value creation.

d). Inability to expand globally.

48. The knowledge gap in service quality occurs when: [U] / [CO3]

a). Customers expect more than the company promises

b). Management does not correctly understand customer expectations

c). Employees fail to deliver service standards

d). Marketing communication misleads customers

49. Choose appropriate answer based on the Assertion and Reason. [U] / [CO4]

Assertion (A): Word-of-mouth plays a critical role in marketing healthcare services.

Reason (R): Patients generally trust personal recommendations more than advertisements.

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

[2x25 = 50]

B